

NETFLIX

New User Onboarding

Product Teardown



4.4★

1.36Cr reviews

100Cr+

Downloads

“At Netflix, we want to entertain the world. Whatever your taste, and no matter where you live, we give you access to best-in-class TV shows, movies, and documentaries.”

Did you know?

On average, Netflix subscribers spend 3+ hours per day consuming content?

- It is an American subscription streaming service founded back in 1997, based in Los Gatos, California.
- It is a streaming giant with over 220 million paid subscribers worldwide (2022) with a revenue of \$ 30 billion (2021)
- Its presence is currently in 190+ countries, with over 15,000 content titles available in 30+ languages!
- Its main competitors include:



Value Propositions:

To provide quality entertainment to the user 24x7.

- Access to a vast and diverse library of content.
- On demand, 24 x 7, no-ad service.
- Possibility of binge watching.
- Personalised list and recommendations based on content watches.
- Original and high definition content.
- User accounts allowing personalised experience for each family member.
- Access to any device with internet



Matthew Perry
20, College Student
Pasadena, California
Lives on Campus at
Caltech

Behaviour:

Studies and goes to classes in day.
Binges content at night.
Low disposable income.

Pain Points:

Finding the next show to watch easily.
Good UI to supporting bingeing – progress track,
next episode, episode list.
Needs a place where he can share account
with family to optimise budget; but also keep it
personalised.
Needs a cross platform support so he can
continue watching during class breaks.



Courteney Cox
26, Business Analyst
SF, California
Lives in an Apartment
with roommate

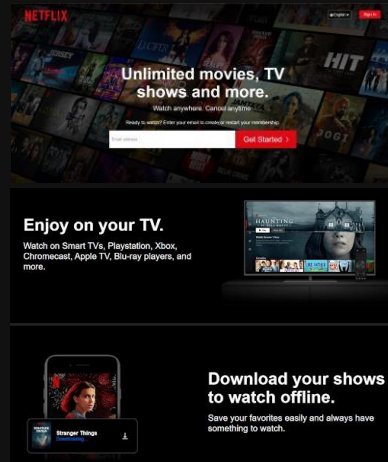
Behaviour:

Watches 2-3 episodes to unwind on a
weekday night & 8-9 hrs on weekends.
Considerable entertainment budget.

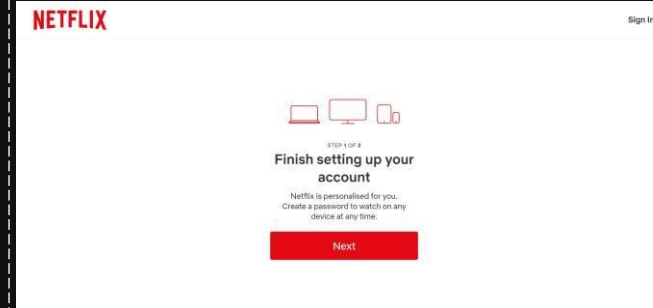
Pain Points:

Deciding what to watch – needs a place to
keep track of recommendations by friends
and family & to get good recommendations.
Find something to watch easily - Needs to
minimise time wasted on deciding what to
watch.
Needs 4k content to watch on TV.
Needs progress tracking of episodes.

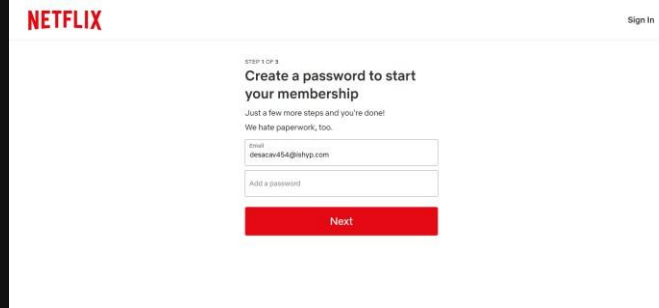
Discovery



Setting up



Email & Password



Doing

Thinking

The UI looks cool! This could be what I needed. Unlimited? Amazing! It has so many perks and is available in my local lang!

It's personalised and is multi platform compatible? Wow that's great!

Password? Hope this isn't a long process. Also, I hope I don't forget my password

Feeling



Pain Points

Most sites these days allow other signup options. Google / phone no. / FB

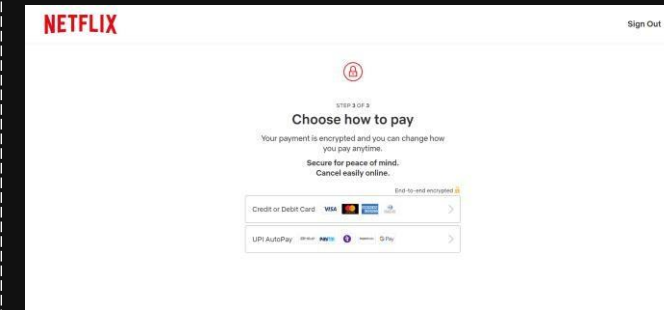
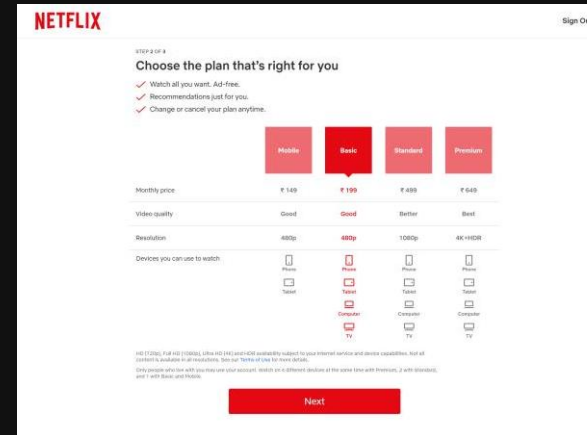
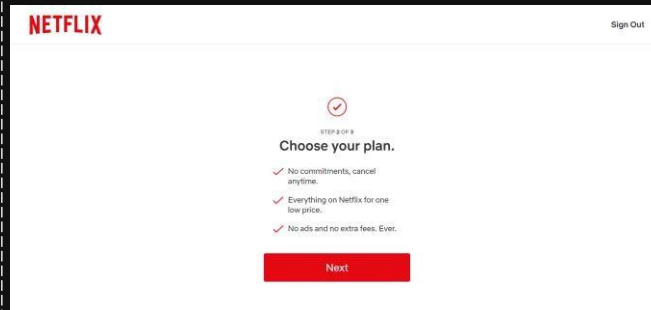
If there was other sign up options, this password step would be easier through OTP / Third party authentication through Google / Facebook

Choose plan

Choose Plan

Payment Options

Doing



Thinking

Cancel anytime? That's good!
No ads at all? That would be
convenient

Wow these plans are pricey as
compared to other platforms.
Hope it is worth it.

Even if they say the transaction
is safe, why are they saving the
card info? Is this safe?

Feeling



Pain Points

No economical pricing; no option of
trial plan anymore to make customer
understand the price point; no plan
which allows a few ads at a discount
rate

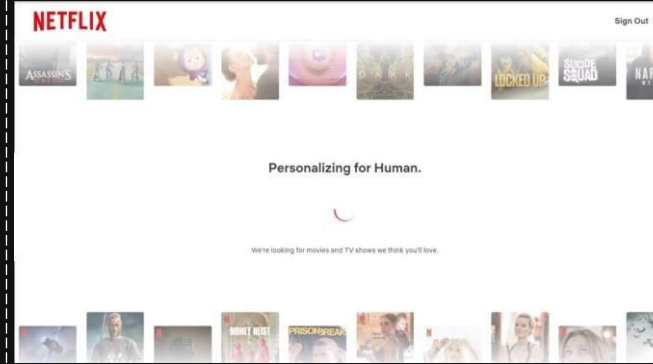
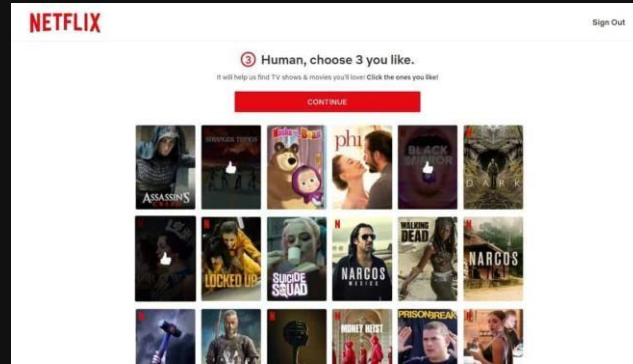
Should also have an assurance
that the payment info is safely
saved for month on month auto
payment.

Choose
Content

Preparing

Done!

Doing



Thinking

Will it really be a great
recommendation experience?
What to choose?

Really hope the
recommendation engine is as
good as they say, it was pretty
pricey after all

Wow the recommendations are
good, amazing and intuitive UI.
Very diverse high quality
content! I am glad I chose this!

Feeling



Pain Points

Should have different 3 choices
for TV shows and Movies

The Pros

- Diverse content, relatable region specific content. Genres, Language, Netflix exclusive content, Quality, Intuitive UI etc are best in class!
- Netflix offers a very good organisation of its content and personalisation.
- The recommendation engine lives up to its name
- Short on-boarding process from any device, no requirement of accessing any other device for 2 factor authentication
- Learning curve to use the product is non-existent.

The Cons

- Cannot watch a few international content. Should have the option to “Browse by Region”.
- No organisation in the “My List” feature. It just appears in chronological order in which I added content.
- Should include few important features like character x-ray, day’s view duration
- No social aspect to interface, cannot share with friends, rate, review, watch party etc.

UI Elements that Stood Out

UI & Navigation is really user friendly improving the overall experience!

- **On keeping** the cursor on the title, a preview is played, which helps user to judge if he wants to watch it now or later
- **On clicking** 'episodes & info' button, we can see a little window with the details, not navigating to another window or simply start playing the title. This helps the user to conveniently browse through content summaries and details without feeling overwhelmed by repeated window navigation.
- **When clicking** the next button while browsing through a row of titles, a small progress bar is displayed at the top, helping me judge the amount of titles present and accurately know when they are repeated from beginning.

North Star Metric: Netflix's North Star Metric is "User Watch Time"

L1 Metrics

- Unique – Measuring a unique log-in who watched some length of a piece of content
- Acquisition:
 - #Qualifiedleads; #Signups;
 - $\text{Customer Acquisition cost} = \frac{\text{Total cost of sales \& marketing}}{\text{\#users acquired}}$
- Retention Rate = $\frac{\text{Remaining users}}{\text{Initial no of users}}$
- Time to Value
- Lifetime Value = $\text{Avg sales value} \times \text{\# Trxn} \times \text{Retention Period}$
- Customer Lifetime Value = $\text{LTV} \times \text{Profit Margin}$
- No of onboarding support tickets over a span of time

L2 Metrics

- Awareness
 - #Website visits
 - Time spent on website
- Acquisition
 - #Downloads & #Installations
- Activation
 - #Steps completed in onboarding process
 - Completion rate = $\frac{\text{\#Users who finished onboarding process}}{\text{\#Users in that onboarding cohort}}$
- Engagement = $\frac{\text{\#active users in cohort}}{\text{\#users in cohort}}$ – cohort based on when onboarding started
- Revenue
 - Free Trial conversion rate = $\frac{\text{\#users convert}}{\text{\#users in free trail}}$